Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, cfo.office@keystonebank.co.za
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Origination risk versus what happened next

Hi team,

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2021 as the new evidence point rather than recycling the earlier conclusion. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

Can you test these explanations rather than choosing one at the start?
- product and vintage explain more than the score
- missing or defaulted inputs create artificial separation
- higher PD bands show more arrears

The decision is whether recalibration, segmentation or data remediation is the next step. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Thanks